

HRMAGIX019 - Notice Period Buyout Policy

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🔍 Reviewed by: Rahul R Jadhav

1. Objective

This policy outlines the guidelines and procedures for buying out the notice period when an employee resigns or requests an early exit. The aim is to provide clarity on the process and conditions under which a notice period buyout may occur, ensuring fairness and business continuity.

2. Scope

This policy applies to all employees of HR Magix across all locations.

3. Definition of Notice Period Buyout

- Employee-Initiated Buyout: When an employee wishes to leave before completing the notice period and agrees to pay for the remaining period, subject to management's approval.
 - Company-Initiated Buyout: When HR Magix decides to relieve an employee before the notice period ends and compensates for the unserved period, subject to management's approval.
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4. Notice Period Guidelines

- Employees are required to serve a notice period of 15 days for probationary employees and 30 days for permanent employees, as per the terms mentioned in their appointment letter.
 - Employees serving the notice period may opt for a buyout only after obtaining approval from their reporting manager and the HR department.
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5. Terms and Conditions

5.1 Employee-Initiated Buyout

- Employees requesting a buyout must submit a formal request to HR stating the reason for the early exit and the desired last working day.
- The buyout amount is calculated based on the employee's gross salary for the unserved notice period.
- The final settlement will include a deduction of the buyout amount from any pending dues, including salary, bonuses, or incentives.
- The management reserves the right to approve or deny the buyout request based on business requirements.
- Employees must ensure that all handover activities are completed and properly documented, regardless of the buyout.

5.2 Company-Initiated Buyout

- If HR Magix decides to relieve an employee before the completion of the notice period, the company will compensate the employee for the unserved period.
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- The buyout amount will be included in the employee's full and final settlement.
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6. Calculation of Buyout Amount

The buyout amount is calculated using the following formula:

Buyout Amount = (Gross Monthly Salary ÷ 30) × Number of Unserved Days

- The buyout amount is based on the employee's latest gross salary (monthly) divided by 30, multiplied by the number of unserved days.
 - For variable pay or incentives, only the fixed gross salary component is considered.
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7. Approval Process

- All notice period buyout requests must be submitted via email and must be approved by the Department Head and HR Department.
 - Final approval lies with the HR Head and Management.
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8. Exceptions

- In cases where the employee is joining a competitor or where an early release may result in business risk, HR Magix reserves the right to decline the buyout request.
 - In cases of termination for misconduct or fraud, the buyout will not be permitted.
 - Any deviations from this policy must be approved by the senior management.
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9. Final Settlement

- The full and final settlement, including the buyout amount and any pending dues, will be processed within 45 days from the last working day.
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10. Policy Review

This policy will be reviewed periodically and updated based on business needs and compliance requirements.

11. Confidentiality & Legal Standing

- The company reserves the right to recover buyout dues through legal means in case of non-compliance or breach of employment terms.
 - This policy does not override or supersede clauses mentioned in the employee's appointment letter or applicable LLP agreements.
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